



MARKETING CAMPAIGN PERFORMANCE ANALYSIS – NEW CUSTOMER GROWTH STRATEGY

BCG X SIMULATION | NEWCO RETAIL CASE



CONTEXT

NewCo operates in a highly competitive retail environment where customer attention is fragmented across multiple digital channels. To stay ahead, the company launched a multi-channel marketing campaign designed to test how different messages and platforms influence customer behaviour.

While overall performance is important, NewCo's primary focus is clear: grow its base of new customers in a scalable and efficient way.





THE CHALLENGE

Following the campaign, a critical question emerged:

Which combination of campaign and channel should NewCo invest in to maximize new customer growth?

Answering this requires more than identifying top-performing campaigns, it demands understanding what drives revenue, what drives conversion, and what truly influences customer behaviour.

THE DATA ANALYSIS PROCESS

To answer this, campaign data was analyzed across channels, messaging strategies, and customer segments using Excel-based tools.

The analysis focused specifically on new customers, evaluating performance through three key lenses:

- Revenue generated
- Conversion efficiency
- Customer engagement (time spent on site)

This approach ensured that recommendations were aligned with business growth objectives, not just overall performance.

INITIAL INSIGHT

At a high level, the campaign results point to a clear leader.

Across all customers, Email combined with Campaign B generated the highest overall sales, outperforming other channels and strategies.

However, this view does not yet answer the real question, because it does not isolate new customer growth.

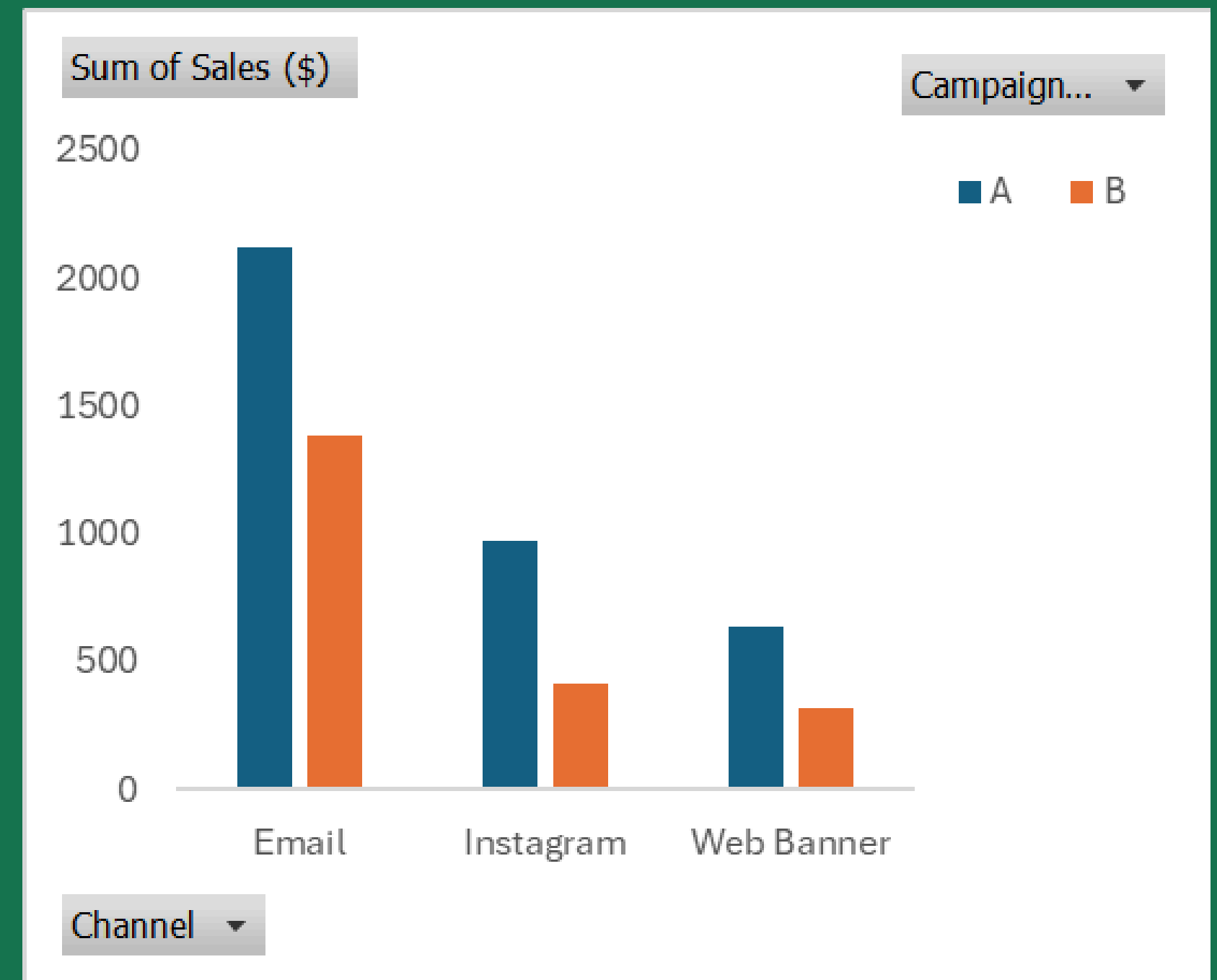


NEW CUSTOMER FOCUS

When the analysis is narrowed to new customers, the story changes.

Email paired with Campaign A emerges as the strongest revenue driver, generating the highest sales among first-time customers.

This shift highlights an important distinction:
The best overall campaign is not necessarily the best for acquiring new customers.



TRADE-OFF INSIGHT

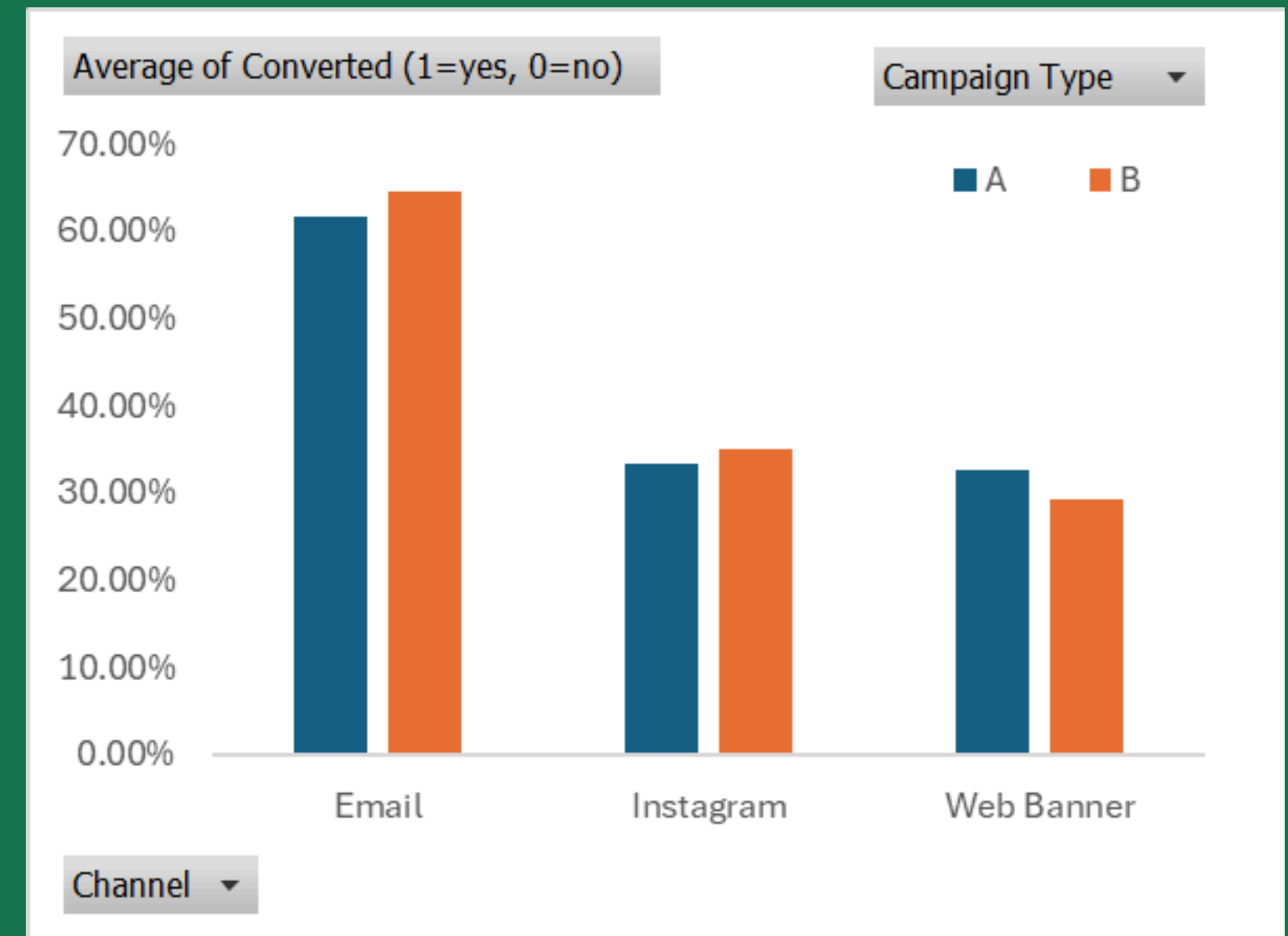
A deeper look reveals a critical trade-off.

While Campaign A drives the most revenue, Campaign B delivers the highest conversion rate, indicating it is more efficient at turning interest into action.

This suggests that:

- Campaign A attracts higher-value outcomes
- Campaign B converts more effectively at scale

Understanding this balance is key to making the right strategic decision.



BEHAVIOURAL INSIGHT

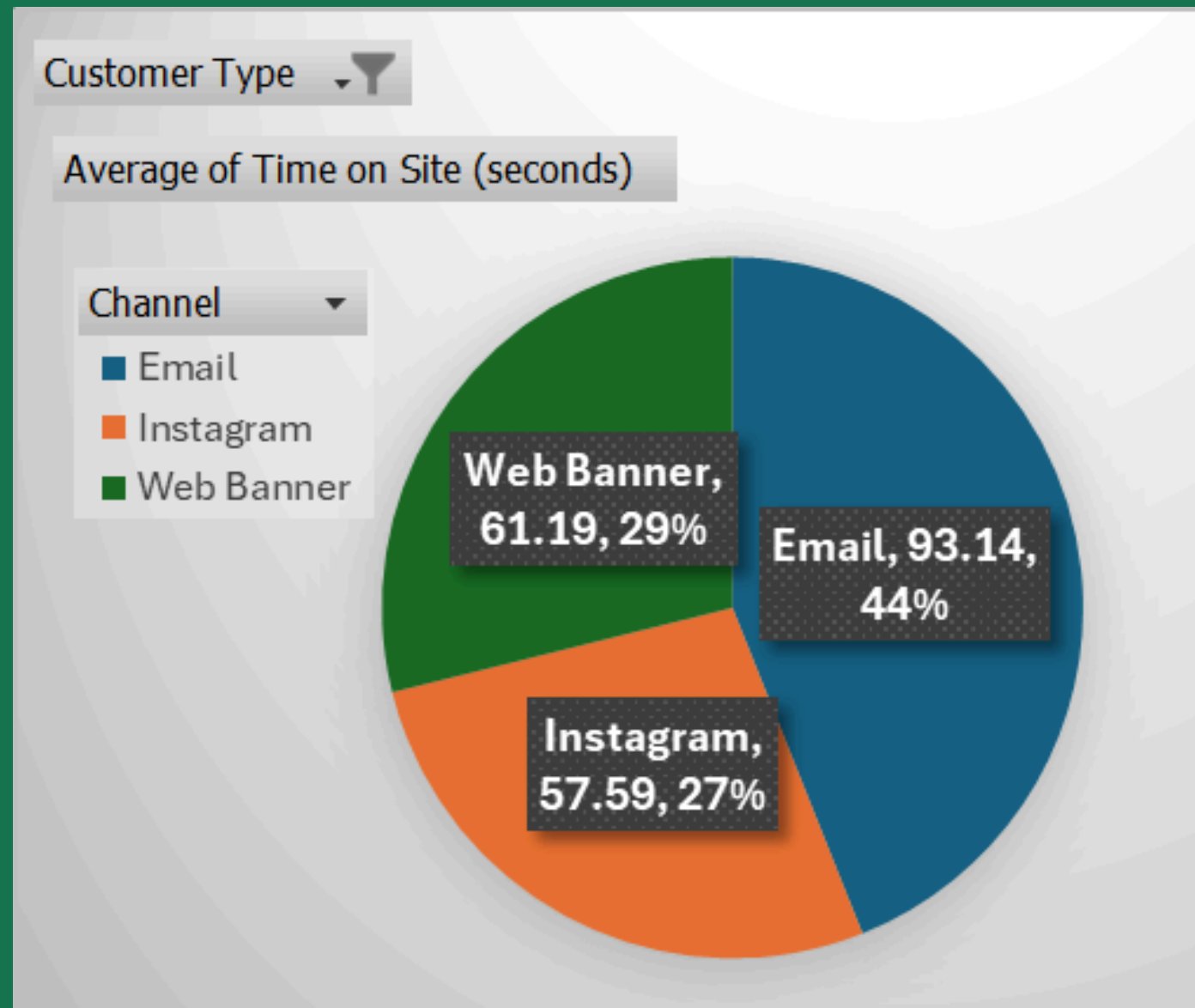
To explore what drives these outcomes, customer engagement was analyzed using time spent on site.

Interestingly, higher engagement does not always lead to higher conversion.

Campaign A keeps users on the site longer, yet Campaign B converts more efficiently with less time.

This indicates that:

Conversion is driven more by message clarity and intent than by time spent browsing.





CHANNEL PERFORMANCE

Across all metrics, revenue, conversion, and engagement, one pattern remains consistent:
Email is the dominant channel.

In contrast:

1. Instagram delivers moderate but limited impact
2. Web Banner underperforms significantly, showing low conversion despite reasonable engagement



This suggests that not all visibility translates into value, and some channels may be absorbing budget without delivering meaningful returns.

RECOMMENDATION

To maximize new customer growth, NewCo should focus its investment where it delivers the strongest results.

The Email channel should be prioritized, using a dual strategy:

- Scale Campaign A to drive immediate revenue growth
- Optimize Campaign B to leverage its high conversion efficiency for scalable acquisition

At the same time, reducing investment in underperforming channels such as Web Banner will improve overall marketing efficiency.

By aligning channel strategy with both revenue and conversion insights, NewCo can achieve sustainable and data-driven growth.